

Chapter 5

Financial Accounting – Part 1

Learning objectives

- Financials in the Functionality of SAP ERP
- Understanding Generally Accepted Accounting Principles (GAAP).
- Vietnam Accounting Standards (VAS).
- Financial Accounting basics: Balance sheet, Income Statement, and Cash Flow Statement.

1. Financials in the Functionality of SAP ERP

Solution Map of SAP ERP

- The SAP ERP solution map

Functionality
of SAP ERP

	End-user service delivery								Shared service delivery	SAP NetWeaver
Analytics	Financial analytics		Operations analytics		Workforce analytics					
Financials	Financial supply chain management	Treasury	Financial accounting	Management accounting		Corporate governance				
Human capital management	Talent management		Workforce process management		Workforce deployment					
Procurement and logistics execution	Procurement	Inventory and warehouse management	Inbound and outbound logistics		Transportation management					
Product development and manufacturing	Production planning	Manufacturing execution	Product development		Life-cycle data management					
Sales and service	Sales order management		Aftermarket sales and service		Professional-service delivery					
Corporate services	Real estate management	Enterprise asset management	Project and portfolio management	Travel management	Environment, health, and safety compliance management	Quality management	Global trade services			

Financials

- The financials section of the solution map covers all tasks related with planning and controlling finances, costs, and payment transactions as well as analyzing the business operations. The functionality is divided into five sections:
 - ❖ Financial accounting (external accounting).
 - ❖ Management accounting (internal accounting).
 - ❖ Corporate governance.
 - ❖ Financial supply chain management.
 - ❖ Treasury.

Financials – Financial Accounting

- For financial accounting, the FI module (financials) offers a multitude of functions as follows:
 - ❖ General ledger;
 - ❖ Accounts receivable;
 - ❖ Accounts payable,
 - ❖ Other types of accounting (asset, inventory, tax, bank-related accounting, and more).
- Support is available for other functions as well, such as period-end accruals, fast close, year-end closing, and parallel valuation according to different accounting rules.

Financials – Management Accounting

- It covers all major areas of internal accounting.
 - ❖ Profit-center accounting (profits and losses of organizational units); Cost-center accounting; Internal order accounting (from planning to settlement); Project accounting; Capital investment management.
 - ❖ Product cost accounting (calculating and controlling the cost of goods manufactured (COGM), and cost of goods sold (COGS), profitability analysis (revenue and cost analysis), consolidation.
 - ❖ Transfer pricing (i.e., determining the prices for goods and services exchanged between different units of a company or different companies of a group).

Financials – Corporate Governance

- Corporate governance comprises the framework of all the rules and regulations under which a company is operating.
- The objective of corporate governance processes is to ensure trustworthy and legally compliant behavior of all employees and other parties and to achieve transparency and control about value-oriented management of the company.
- Complying with the rules and regulations is seen as a means to build up and maintain trust in the company, such as the trust of shareholders, customers, employees, and other stakeholders.

Financials – Financial supply chain management

- Financial supply chain management (FSCM) supports the financial management within a company and in company networks. The goal here is to reduce the working capital and improve the liquidity.
- Features provided by FSCM include electronic billing and payment, dispute management (settling payment disputes), collections management and credit management, and contract accounting.
- The necessary functions are mostly contained in the FI (financials) module and some other SAP ERP components.

Financials – Treasury

- Treasury processes and functions aid the company in overseeing cash and payment processes, ensuring liquidity, handling financial transactions from deal capturing to accounting, and evaluating interest, foreign exchange, price, and commodity risks.
- The treasury section is divided into four parts.
 - ❖ ***Treasury and risk management*** support the principal tasks in a finance department, assisting liquidity, portfolio, and risk management.
 - ❖ ***Cash and liquidity management*** help in monitoring operational cash flow, forecasting, and planning future cash flow.

Financials – Treasury (Cont.)

- The treasury section is divided into four parts.
 - ❖ ***In-house cash*** allows diversified companies to optimize their intragroup payment transactions by opening an in-house cash center (“in-house bank”). The in-house cash center processes all payments between company units. Cash resources are kept within the group, saving banking costs and enhancing financial flexibility.
 - ❖ ***Bank communication management*** provides electronic connections to the bank as well as processing, tracking, and monitoring payments.

In conclusion

- Financials.
 - ❖ Financial accounting.
 - ❖ Management accounting.
 - ❖ Corporate governance.
 - ❖ Financial supply chain management.
 - ❖ Treasury.

Understand



2. Understanding Generally Accepted Accounting Principles (GAAP)

What Are the Generally Accepted Accounting Principles (GAAP)?

- A collection of accounting guidelines, standards, and practices published and regularly updated by the Financial Accounting Standards Board (FASB) is known as GAAP.
- In the US, public companies are required to have their accountants prepare their financial statements in accordance with GAAP.
- The United States is the primary user of GAAP, whereas most other nations use *International Financial Reporting Standards (IFRS)*.
- Vietnam uses *Vietnam Accounting Standards (VAS)*.

Understanding GAAP

- GAAP is a combination of authoritative standards established by policy boards and widely accepted methods of recording and reporting accounting data.
- Topics covered by GAAP include revenue recognition, balance sheet classification, and materiality.
- GAAP can be contrasted with pro forma accounting, a non-GAAP financial reporting methodology.
- In other countries, the IFRS is the equivalent of GAAP in the US. IFRS has been adopted in 168 countries around the world.

Understanding GAAP (Cont.)

- The ultimate goal of GAAP is to ensure that a company's financial statements are complete, consistent, and comparable.
 - ❖ This makes it easier for investors to analyze and extract useful information from financial statements, including trend data for the period.
 - ❖ It also facilitates the comparison of financial information across different companies.

GAAP vs. IFRS

- There are some important differences in how accounting entries are treated in GAAP vs. IFRS.
 - ❖ ***One major issue is the treatment of inventory.***
 - IFRS rules ban the use of last-in, first-out (LIFO) inventory accounting methods, while GAAP rules allow for LIFO.
 - Both systems allow for the first-in, first-out method (FIFO) and the weighted average-cost method.
- As corporations increasingly need to navigate global markets and conduct operations worldwide, international standards are becoming increasingly popular at the expense of GAAP, even in the U.S.
- Because the IFRS standard is widely used around the world, its convergence could benefit both international corporations and investors.

Why is GAAP important?

- GAAP is essential because it contributes to financial market confidence.
- With no GAAP, investors may be less likely to trust the information provided by public companies.
- A weaker economy and higher transaction costs could result from fewer transactions if there is a lack of trust.
- By simplifying comparisons between companies, GAAP also aids investors in the analysis of companies.

What are non-GAAP measures?

- Companies are still allowed to present certain figures without abiding by GAAP guidelines if they identify those figures as not conforming to GAAP.
 - ❖ Companies occasionally take that action because they feel the GAAP regulations aren't sufficiently agile to account for operational situations.
 - ❖ Investors should be skeptical about non-GAAP measures, however, as they can sometimes be used misleadingly.

In conclusion

- What Are the Generally Accepted Accounting Principles (GAAP)?
- Understanding GAAP.
- GAAP vs. IFRS.
- Why is GAAP important?
- What are non-GAAP measures?

Understand



3. Vietnam Accounting Standards (VAS)

What is Vietnam Accounting Standards (VAS)?

- The Vietnam Accounting Standards (VAS) is a bookkeeping and financial reporting manual.
- It provides a standard chart of accounts, financial statement templates, accounting books, and voucher templates, as well as detailed guidance on accounting double entries for specific transactions.

What is Vietnam Accounting Standards (VAS)? (Cont.)

- Vietnam employs a unified set of accounting and bookkeeping standards that guide how expenses and revenues of companies operating within the country should be recorded.
- There are also industry-specific accounting guidelines for credit institutions, insurance companies, securities companies, fund management, investment funds, oil and gas operators, lottery companies, regulatory bodies, public sector entities, etc.

Entities subject to Vietnam Accounting Standards

- Enterprises of all economic entities, including 100 percent foreign-owned enterprises, branches, and representative offices of foreign enterprises operating in Vietnam under Vietnamese law ;
- Individuals' business households and cooperation groups ;
- Accountants and other accounting professionals; and
- Non-business enterprises and organizations (including with and without funding from the state budget).

Framework for Vietnam Accounting Standards

- Local and foreign-invested companies doing business in the country are required by law to comply with the Vietnam Accounting Standard (VAS) when recording their financial transactions.
- Foreign companies may choose to manage two accounting records; one based on the VAS and another compiled specifically for the overseas head office.
 - ❖ In practice, many foreign companies maintain an accounting system according to VAS and only convert financial statements into the International Financial Reporting Standards (IFRS) every quarter for the foreign parent company's reference.

Framework for Vietnam Accounting Standards (Cont.)

- The VAS requires that accounting records:
 - ❖ Are in the Vietnamese language or can be combined with a commonly used foreign language;
 - ❖ Use Vietnamese Dong (VND) as the accounting currency, but foreign-invested enterprises (FIEs) are allowed to select a foreign currency as their accounting currency;
 - ❖ Comply with the Vietnam chart of accounts; and
 - ❖ Include numerous reports specified by VAS regulations, printed monthly, signed by the General Director, and affixed with the company seal.

Accounting Period Timeline

- An accounting period in Vietnam is generally determined according to the calendar year.
 - ❖ January 1 to December 31.
 - ❖ However, 12 months also begin the first day of each quarter.
 - April 1 to March 31 of the following year;
 - July 1 to June 30 of the following year;
 - or October 1 to September 30 of the following year, can also be adopted after registering with the Tax Department.

Accounting Period Timeline (Cont.)

- For taxes declared quarterly
 - ❖ The last day of the first month of the succeeding quarter (30th or 31st).
- For taxes declared annually
 - ❖ The last day of the third month following the end of the calendar year or fiscal year for annual tax finalization.
 - For annual tax declaration dossiers, the deadline is the last day of the first month following the end of the calendar or fiscal year.
 - ❖ The last day of the fourth month following the end of the calendar year for annual personal income tax statements prepared by income earners.

Language and Currency

- The accounting records should be maintained in the Vietnamese language, although this can be combined with another commonly used foreign language, such as English.
- Additionally, the Vietnamese Dong should be used as the accounting currency; however, entities that receive and pay with foreign currency can select that said foreign currency in their accounting records and financial statements.
- For statutory reporting, the foreign currency must be converted to the Vietnamese Dong equivalent.

In conclusion

- What is VAS?
- Entities subject to VAS.
- Framework for VAS.
- Accounting Period Timeline.
- Language and Currency.

Understand



4. Financial Accounting basics: Balance sheet, Income Statement, and Cash Flow Statement.

Key Financial Statements

- Financial statements are powerful tools that enterprises can use to manage.
- The basic financial statements an enterprises needs to have as follows:
 - ❖ The balance sheet.
 - ❖ The income statement.
 - ❖ The cash-flow statement.

The Balance Sheet

- A balance sheet is a financial statement that reports a business's financial position at a specific time.
- The balance sheet is divided into two parts: the financial resources owned by the firm and the claims against these resources.
- The financial resources the firm owns are called **assets**. The claims that creditors have against the company are called **liabilities**. The residual interest of the firm's owners is known as **owners' equity**.
- Assets are listed on the left, and liabilities and owners' equity are listed on the right.

The Balance Sheet (Cont.)

- An asset is something of value the business owns. To determine the value of an asset, the owner/manager must do the following:
 - ❖ Identify the resource.
 - ❖ Provide a monetary measurement of that resource's value.
 - ❖ Establish the degree of ownership in the resource.
- Most assets can be identified easily.
 - ❖ Tangible assets: cash, land, equipment, etc.
 - ❖ Intangible assets: copyrights, patents, etc.

The Balance Sheet (Cont.)

- **Liabilities** are the debts of the business → A common liability is a short-term account payable in which the business orders some merchandise, receives it, and has not yet paid for it.
 - ❖ **Short-term liabilities** (also called **current liabilities**) are those that must be paid during the coming 12 months.
 - ❖ **Long-term liabilities** are those that are not due and payable within the next 12 months, such as a mortgage on a building or a five-year bank loan.
- **Owners' equity** is what remains after the firm's liabilities are subtracted from its assets.
 - ❖ If the business loses money, its owners' equity will decline.

The Balance Sheet (Cont.)

- Balance sheet always balances

Assets = Liabilities + Owners' equity

❖ The following chart relates debits and credits to increases and decreases.

Category	A Transaction Increasing the Amount	A Transaction Decreasing the Amount
Asset	Debit	Credit
Liability	Credit	Debit
Owners' equity	Credit	Debit

❖ The following examples of credits and debits.

	Debit	Credit
Credit Transaction		
Inventory	\$11,000	
Accounts payable		\$11,000
Bank Loan		
Cash	110,000	
Bank Loan		110,000
Stock Sale		
Cash	400,000	
Common Stock		400,000
	\$511,000	\$511,000

Understanding the Balance Sheet

- Kendon Corporation Balance Sheet for the Year Ended December 31, 2018.

Assets		
Current Assets		
Cash		\$200,000
Accounts receivable	\$375,000	
Less: allowance for uncollectible accounts	<u>\$25,000</u>	350,000
Inventory		150,000
Prepaid expenses		35,000
Total current assets		\$735,000
Fixed Assets		
Land		\$330,000
Building	\$315,000	
Less: accumulated depreciation of building	<u>80,000</u>	
Equipment	410,000	
Less: accumulated depreciation of equipment	<u>60,000</u>	
Total fixed assets		<u>915,000</u>
Total assets		<u>\$1,650,000</u>

Liabilities		
Current Liabilities		
Accounts payable	\$150,000	
Notes payable	25,000	
Taxes payable	75,000	
Loan payable	<u>50,000</u>	
Total current liabilities		\$300,000
Bank loan		<u>200,000</u>
Total liabilities		<u>\$500,000</u>
Owners' Equity		
Contributed Capital		
Common stock, \$10 par, 40,000 shares	<u>\$400,000</u>	
Preferred stock, \$100 par, 500 shares		
Authorized, none sold	<u> </u>	
Retained Earnings	<u>750,000</u>	
Total owners' equity		<u>1,150,000</u>
Total liabilities and owners' equity		<u>\$1,650,000</u>

Understanding the Balance Sheet (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries				
Consolidated statement of financial position as at 31 December 2023				
Form B 01 – DN/HN				
(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)				
	Code	Note	31/12/2023 VND	1/1/2023 VND
ASSETS				
Current assets				
(100 = 110 + 120 + 130 + 140 + 150)	100		35,935,879,621,477	31,560,382,174,201
Cash and cash equivalents	110	V.1	2,912,027,359,925	2,299,943,527,624
Cash	111		1,025,487,470,250	1,327,429,518,437
Cash equivalents	112		1,886,539,889,675	972,514,009,187
Short-term financial investments	120		20,137,243,800,460	17,414,055,328,683
Trading securities	121	V.4(a)	1,193,065,962	1,159,355,253
Allowance for diminution in the value of trading securities	122	V.4(a)	(822,663,402)	(689,745,197)
Held-to-maturity investments	123	V.4(b)	20,136,873,397,900	17,413,585,718,627
Accounts receivable – short-term	130		6,529,705,184,034	6,100,402,870,854
Accounts receivable from customers	131		4,808,183,557,645	4,633,942,510,271
Prepayments to suppliers	132		655,619,313,409	589,439,884,812
Other short-term receivables	136	V.3(a)	1,080,803,411,003	890,466,200,571
Allowance for doubtful debts	137	V.2	(14,901,098,023)	(13,445,724,800)
Inventories	140	V.5	6,128,081,805,088	5,537,563,396,117
Inventories	141	V.5	6,165,935,294,543	5,560,169,453,504
Allowance for inventories	149	V.5	(37,853,489,455)	(22,606,057,387)
Other current assets	150		228,821,471,970	208,417,050,923
Short-term prepaid expenses	151	V.11(a)	82,860,441,483	97,570,693,043
Deductible value added tax	152		99,428,954,456	89,204,099,539
Taxes receivable from State Treasury	153		46,532,076,031	21,642,258,341

Understanding the Balance Sheet (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Form B-01 - DCTN
(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)

	Code	Note	31/12/2023 VND	1/1/2023 VND
Long-term assets (200 = 210 + 220 + 230 + 240 + 250 + 260)	200		16,737,491,482,983	16,922,282,062,019
Accounts receivable – long-term	210		16,131,990,975	38,422,722,715
Other long-term receivables	216	V.3(b)	16,131,990,975	38,422,722,715
Fixed assets	220		12,689,652,377,511	11,903,207,642,940
Tangible fixed assets	221	V.6	11,688,520,305,045	10,860,366,507,422
Cost	222		31,109,174,369,693	28,502,157,270,867
Accumulated depreciation	223		(19,420,654,064,648)	(17,641,790,763,445)
Intangible fixed assets	227	V.7	1,001,132,072,466	1,042,841,135,518
Cost	228		1,366,405,903,459	1,353,423,614,905
Accumulated amortisation	229		(365,273,830,993)	(310,582,479,387)
Investment property	230	V.8	55,594,154,394	57,593,807,783
Cost	231		98,822,678,885	98,822,678,885
Accumulated depreciation	232		(43,228,524,491)	(41,228,871,102)
Long-term work in progress	240		936,923,649,898	1,805,129,940,386
Long-term work in progress	241	V.9	381,979,710,802	334,547,387,349
Construction in progress	242	V.10	554,943,939,096	1,470,582,553,037
Long-term financial investments	250		831,227,597,345	742,670,306,431
Investments in associates, joint venture	252	V.4(c)	602,591,028,932	664,302,778,018
Equity investments in other entities	253	V.4(c)	101,975,059,081	101,950,219,081
Allowance for diminution in the value of long-term financial investments	254	V.4(c)	(23,582,690,668)	(23,582,690,668)
Held-to-maturity investments	255	V.4(b)	150,244,200,000	-
Other non-current assets	260		2,207,961,712,860	2,375,257,641,764
Long-term prepaid expenses	261	V.11(b)	871,585,543,337	772,804,663,141
Deferred tax assets	262	V.12(a)	14,448,509,586	34,985,203,461
Goodwill	269	V.13	1,321,927,659,937	1,567,467,775,162
TOTAL ASSETS (270 = 100 + 200)	270		52,673,371,104,460	48,482,664,236,220

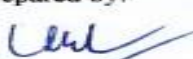
Understanding the Balance Sheet (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)

	Code	Note	31/12/2023 VND	1/1/2023 VND
RESOURCES				
LIABILITIES (300 = 310 + 330)	300		17,647,627,338,990	15,666,145,881,135
Current liabilities	310		17,138,689,974,862	15,308,423,081,524
Accounts payable to suppliers	311	V.14	3,805,885,429,198	4,284,158,390,163
Advances from customers	312		164,712,782,108	161,708,567,120
Taxes payable to State Treasury	313	V.16	967,878,916,785	598,135,128,295
Payables to employees	314		289,224,237,367	287,914,221,269
Accrued expenses	315	V.17	1,910,204,625,860	1,620,874,538,443
Short-term unearned revenue	318		263,912,729	4,161,405,120
Other short-term payables	319	V.18	1,193,900,858,465	3,055,541,590,234
Short-term borrowings	320	V.15(a)	8,217,757,172,267	4,867,129,839,103
Provision	321	V.19	16,770,514,285	26,635,759,312
Bonus and welfare fund	322	V.20	572,091,525,798	402,163,642,465
Long-term liabilities	330		508,937,364,128	357,722,799,611
Other long-term payables	337	V.18	1,063,378,252	3,711,780,002
Long-term borrowings	338	V.15(b)	238,476,074,100	66,028,725,000
Deferred tax liabilities	341	V.12(b)	269,397,911,776	287,982,294,609
EQUITY (400 = 410)	400		35,025,743,765,470	32,816,518,355,085
Owners' equity	410	V.21	35,025,743,765,470	32,816,518,355,085
Share capital	411	V.22	20,899,554,450,000	20,899,554,450,000
Share premium	412		34,110,709,700	34,110,709,700
Other capital	414		499,080,803,215	202,658,418,215
Foreign exchange differences	417		174,100,152,253	92,498,048,227
Investment and development fund	418		6,163,736,586,996	5,266,761,584,973
Retained profits	421		3,926,232,003,987	3,353,468,092,666
- Retained profits brought forward	421a		1,068,453,760,015	2,682,865,082,625
- Profit for the current year	421b		2,857,778,243,972	670,603,010,041
Non-controlling interest	429		3,328,929,059,319	2,967,467,051,304
TOTAL RESOURCES (440 = 300 + 400)	440		52,673,371,104,460	48,482,664,236,220

30 January 2024

Prepared by: 

Approved by: 



The Income Statement

- The income statement is a financial statement that shows the change that has occurred in a firm's position as a result of its operations over a specific period.
- It is in contrast to the balance sheet, which reflects the company's position at a particular point in time.
- The income statement, sometimes referred to as a “profit and loss statement” or “P&L,” reports the success (or failure) of the business during the period.
- For purposes of simplicity, the income statement can be reduced to three primary categories: (1) Revenue; (2) Expenses; and (3) Net income.

The Income Statement (Cont.)

- **Revenues** are the gross sales the business made during the particular period under review. It often consists of the money actually received from sales, but this need not be the case.
 - ❖ For example, sales made on account still are recognized as revenue, as when a furniture store sells \$500 of furniture to a customer today, delivers it tomorrow, and will receive payment two weeks from now. From the moment the goods are delivered, the company can claim an increase in revenue.

The Income Statement (Cont.)

- **Expenses** are the costs associated with producing goods or services. For the furniture store in the preceding paragraph, the expenses associated with the sale would include the costs of acquiring, selling, and delivering the merchandise. Sometimes these are expenses that will be paid later.
 - ❖ For example, the people who deliver the furniture may be paid every two weeks, so the actual outflow of expense money in the form of salaries will not occur at the same time the work is performed. Nevertheless, it is treated as an expense.

The Income Statement (Cont.)

- **Net income** is the excess of revenue over expenses during the particular period under discussion.
 - ❖ If revenues exceed expenses, the result is a net profit. If the reverse is true, the firm suffers a net loss.
 - ❖ At the end of the accounting period, all of the revenues and expenses associated with all of the sales of goods and services are added together, and then the expenses are subtracted from the revenues.
 - ❖ In this way, the firm knows whether it made an overall profit or suffered an overall loss.

Understanding the Income Statement

- Kendon Corporation Income Statement for the Year Ended December 31, 2018.

Table 11.3 Kendon Corporation Income Statement for the Year Ended December 31, 2018

Sales Revenue	\$1,750,000	
Less: Sales returns and allowances	50,000	
Net sales		\$1,700,000
Cost of Goods Sold		
Inventory, January, 2000	\$150,000	
Purchases	<u>1,050,000</u>	
Goods available for sale	\$1,200,000	
Less: Inventory, December, 2000	<u>200,000</u>	
Cost of goods sold		<u>1,000,000</u>
Gross margin		\$700,000
Operating Expenses		
Selling expenses	\$150,000	
Administrative expenses	<u>100,000</u>	
Total operating expenses		<u>250,000</u>
Operating income		\$450,000
Financial Expenses		<u>\$20,000</u>
Income before income taxes		\$430,000
Estimated Income Taxes		<u>172,000</u>
Net profit		<u>\$258,000</u>

Understanding the Income Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries						Form B 02 – DN/HN	
Consolidated statement of income for fourth quarter and year ended 31 December 2023						(Issued under Circular No. 202/2014 TT-BTC dated 22 December 2014 of the Ministry of Finance)	
	Code	Note	Three-month period ended 31/12/2023 VND	31/12/2022 VND	Year ended 31/12/2023 VND	31/12/2022 VND	
Revenue from sales of goods and provision of services	01	VI.1	15,630,458,869,279	15,080,733,191,774	60,478,912,566,740	60,074,730,223,299	
Revenue deductions	02	VI.1	11,747,924,789	12,078,534,321	109,997,055,235	118,483,025,881	
Net revenue (10 = 01 - 02)	10	VI.1	15,618,710,944,490	15,068,654,657,453	60,368,915,511,505	59,956,247,197,418	
Cost of sales	11	VI.2	9,177,098,353,000	9,223,066,245,408	35,824,183,896,095	36,059,015,690,711	
Gross profit (20 = 10 - 11)	20		6,441,612,591,490	5,845,588,412,045	24,544,731,615,410	23,897,231,506,707	
Financial income	21	VI.3	428,868,705,495	379,190,751,224	1,716,367,576,333	1,379,904,407,740	
Financial expenses	22	VI.4	118,785,839,541	207,242,758,610	503,122,771,214	617,537,182,995	
In which: Interest expense	23		96,231,603,161	53,226,546,796	354,094,837,255	166,039,091,744	
Share of loss in associates and joint venture	24	V.4(c)	(28,037,460,234)	(4,556,583,050)	(80,631,298,646)	(24,475,976,403)	
Selling expenses	25	VI.5	3,493,712,827,314	3,335,004,548,411	13,018,093,111,879	12,548,212,246,871	
General and administration expenses	26	VI.6	504,122,733,414	448,926,418,471	1,755,619,128,197	1,595,845,681,078	
Net operating profit {30 = 20 + (21 - 22) + 24 - (25 + 26)}	30		2,725,822,436,482	2,229,048,854,727	10,903,632,881,807	10,491,064,827,100	
Other income	31	VI.7	240,821,530,736	148,365,579,501	353,408,891,551	289,021,799,127	
Other expenses	32	VI.8	114,579,366,839	82,172,192,394	289,142,381,872	284,551,949,482	
Results of other activities (40 = 31 - 32)	40		126,242,163,897	66,193,387,107	64,266,509,679	4,469,849,645	

The accompanying notes are an integral part of these consolidated financial statements

Understanding the Income Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries
Consolidated statement of income for fourth quarter and year ended 31 December 2023

Form B 02 – DN/HN
(Issued under Circular No. 202/2014 TT-BTC
dated 22 December 2014 of the Ministry of Finance)

	Code	Note	Three-month period ended 31/12/2023 VND	31/12/2022 VND	Year ended 31/12/2023 VND	31/12/2022 VND
Revenue from sales of goods and provision of services	01	VI.1	15,630,458,869,279	15,080,733,191,774	60,478,912,566,740	60,074,730,223,299
Revenue deductions	02	VI.1	11,747,924,789	12,078,534,321	109,997,055,235	118,483,025,881
Net revenue (10 = 01 - 02)	10	VI.1	15,618,710,944,490	15,068,654,657,453	60,368,915,511,505	59,956,247,197,418
Cost of sales	11	VI.2	9,177,098,353,000	9,223,066,245,408	35,824,183,896,095	36,059,015,690,711
Gross profit (20 = 10 - 11)	20		6,441,612,591,490	5,845,588,412,045	24,544,731,615,410	23,897,231,506,707
Financial income	21	VI.3	428,868,705,495	379,190,751,224	1,716,367,576,333	1,379,904,407,740
Financial expenses	22	VI.4	118,785,839,541	207,242,758,610	503,122,771,214	617,537,182,995
In which: Interest expense	23		96,231,603,161	53,226,546,796	354,094,837,255	166,039,091,744
Share of loss in associates and joint venture	24	V.4(c)	(28,037,460,234)	(4,556,583,050)	(80,631,298,646)	(24,475,976,403)
Selling expenses	25	VI.5	3,493,712,827,314	3,335,004,548,411	13,018,093,111,879	12,548,212,246,871
General and administration expenses	26	VI.6	504,122,733,414	448,926,418,471	1,755,619,128,197	1,595,845,681,078
Net operating profit {30 = 20 + (21 - 22) + 24 - (25 + 26)}	30		2,725,822,436,482	2,229,048,854,727	10,903,632,881,807	10,491,064,827,100
Other income	31	VI.7	240,821,530,736	148,365,579,501	353,408,891,551	289,021,799,127
Other expenses	32	VI.8	114,579,366,839	82,172,192,394	289,142,381,872	284,551,949,482
Results of other activities (40 = 31 - 32)	40		126,242,163,897	66,193,387,107	64,266,509,679	4,469,849,645

The accompanying notes are an integral part of these consolidated financial statements

Understanding the Income Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries
Consolidated statement of income for fourth quarter and year ended 31 December 2023 (continued)

Form B 02 – DN/HN
(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)

	Code	Note	Three-month period ended 31/12/2023 VND	31/12/2022 VND	Year ended 31/12/2023 VND	31/12/2022 VND
Profit before tax (50 = 30 + 40)	50		2,852,064,600,379	2,295,242,241,834	10,967,899,391,486	10,495,534,676,745
Income tax expense – current	51	VI.10	527,166,047,542	469,246,818,237	1,948,363,404,628	1,956,248,296,285
Income tax (benefit)/expense – deferred	52	VI.10	(25,806,937,118)	(43,126,134,573)	181,821,807	(38,288,939,248)
Net profit after tax (60 = 50 - 51 - 52)			2,350,705,489,955	1,869,121,558,170	9,019,354,165,051	8,577,575,319,708
Attributable to:						
Equity holders of the Company	61		2,326,013,960,066	1,869,125,571,613	8,873,812,416,864	8,516,023,694,342
Non-controlling interest	62		24,691,529,889	(4,013,443)	145,541,748,187	61,551,625,366
Basic earnings per share	70	VI.11	999	797	3,796	3,632

30 January 2024

Prepared by:



Le Thanh Liem
*Executive Director – Finance
cum Chief Accountant*

Approved by:




Mai Kieu Lien
Chief Executive Officer

The accompanying notes are an integral part of these consolidated financial statements

8

The Cash-Flow Statement

- The cash-flow statement (also known as the statement of cash flows) shows the effects of a company's operating, investing, and financing activities on its cash balance.
- It is useful for answering such questions as:
 - ❖ How much cash did the firm generate from operations? How did the firm finance fixed capital expenditures?
 - ❖ How much new debt did the firm add?
 - ❖ Was the cash from operations sufficient to finance fixed asset purchases?

The Cash-Flow Statement (Cont.)

- The statement of cash flows is a supplement to the balance sheet and income statements.
- One of the limitations of the income and balance sheet statements is that they are based on accrual accounting, as follows:
 - ❖ If a sale is made for credit, under accrual accounting the sale is recognized but cash has not been received.
 - ❖ A tax expense may be shown in the income statement, but it may not be paid until later.

The Cash-Flow Statement (Cont.)

- The statement of cash flows is broken down into *operating*, *investing*, and *financing* activities.

Table 11.4 Format of Statement of Cash Flows

Cash flows from operating activities	\$50,000
Cash flows from investing activities	(\$10,000)
Cash flows from financing activities	\$5,000
Net increase (decrease) in cash	\$45,000
Cash at beginning of period	\$400,000
Cash at end of period	\$445,000

The Cash-Flow Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries			
Consolidated statement of cash flows for the year ended 31 December 2023			
(Indirect method)			
Form B 03 – DN/HN			
(Issued under Circular No. 202/2014/TT-BTC			
dated 22 December 2014 of the Ministry of Finance)			
	Code Note	2023 VND	2022 VND
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before tax	01	10,967,899,391,486	10,495,534,676,745
Adjustments for			
Depreciation and amortisation	02	2,054,586,864,472	2,095,449,858,677
Amortisation of goodwill	02 V.13	245,540,115,225	245,540,115,225
Allowances and provisions	03	26,862,358,183	(4,572,925,078)
Exchange losses arising from revaluation of monetary items denominated in foreign currencies	04	7,448,121,735	3,222,766,873
Losses on disposals/written off of fixed assets and construction in progress	05	65,791,983,817	88,472,438,579
Dividends, interest income and other gain from investment activities	05	(1,543,397,439,960)	(1,210,689,718,561)
Share of loss in associates and joint venture	05	80,631,298,646	24,475,976,403
Interest expense	06 VI.4	354,094,837,255	166,039,091,744
Operating profit before changes in working capital	08	12,259,457,530,859	11,903,472,280,607
Change in receivables	09	(244,987,138,316)	(288,077,307,677)
Change in inventories	10	(1,021,313,389,573)	851,263,069,739
Change in payables and other liabilities	11	(443,378,131,758)	(386,032,574,554)
Change in prepaid expenses	12	7,868,182,212	(73,120,062,114)
Interest paid	14	(302,707,839,570)	(141,304,083,849)
Income tax paid	15 V.16	(1,564,073,949,237)	(1,975,289,763,439)
Other payments for operating activities	17	(803,441,702,254)	(1,063,638,382,197)
Net cash flows from operating activities	20	7,887,423,562,363	8,827,273,176,516

The Cash-Flow Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries			
Consolidated statement of cash flows for the year ended 31 December 2023			
(Indirect method)			
Form B 03 – DN/HN			
(Issued under Circular No. 202/2014/TT-BTC			
dated 22 December 2014 of the Ministry of Finance)			
	Code Note	2023 VND	2022 VND
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before tax	01	10,967,899,391,486	10,495,534,676,745
Adjustments for			
Depreciation and amortisation	02	2,054,586,864,472	2,095,449,858,677
Amortisation of goodwill	02 V.13	245,540,115,225	245,540,115,225
Allowances and provisions	03	26,862,358,183	(4,572,925,078)
Exchange losses arising from revaluation of monetary items denominated in foreign currencies	04	7,448,121,735	3,222,766,873
Losses on disposals/written off of fixed assets and construction in progress	05	65,791,983,817	88,472,438,579
Dividends, interest income and other gain from investment activities	05	(1,543,397,439,960)	(1,210,689,718,561)
Share of loss in associates and joint venture	05	80,631,298,646	24,475,976,403
Interest expense	06 VI.4	354,094,837,255	166,039,091,744
Operating profit before changes in working capital	08	12,259,457,530,859	11,903,472,280,607
Change in receivables	09	(244,987,138,316)	(288,077,307,677)
Change in inventories	10	(1,021,313,389,573)	851,263,069,739
Change in payables and other liabilities	11	(443,378,131,758)	(386,032,574,554)
Change in prepaid expenses	12	7,868,182,212	(73,120,062,114)
Interest paid	14	(302,707,839,570)	(141,304,083,849)
Income tax paid	15 V.16	(1,564,073,949,237)	(1,975,289,763,439)
Other payments for operating activities	17	(803,441,702,254)	(1,063,638,382,197)
Net cash flows from operating activities	20	7,887,423,562,363	8,827,273,176,516

The Cash-Flow Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries			
Consolidated statement of cash flows for the year ended 31 December 2023			
(Indirect method – continued)			
Form B 03 – DN/HN			
(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)			
	Code Note	2023 VND	2022 VND
CASH FLOWS FROM INVESTING ACTIVITIES			
Payments for additions to fixed assets and other long-term assets	21	(1,579,637,140,762)	(1,456,914,052,616)
Receipts from disposals of fixed assets and construction in progress	22	104,880,785,286	137,125,557,857
Payments for term deposits	23	(2,856,303,791,352)	-
Receipts from term deposits	24	-	3,634,715,046,607
Payments for investments in other entities	25	(35,769,832,735)	(43,175,000,000)
Collections from investments in other entities	26	10,570,000,000	-
Receipts of interest and dividends	27	1,367,711,469,062	1,201,019,963,250
Net cash flows from investing activities	30	(2,988,548,510,501)	3,472,771,515,098
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from additional shares issued to and capital contributed by non-controlling interest to a subsidiary	31	489,787,009,008	338,100,000,000
Capital refunded to a non-controlling interest of a dissolved subsidiary	32	(142,548,827,636)	-
Proceeds from borrowings	33	11,788,416,965,803	6,257,530,054,586
Payments to settle loan principals	34	(8,276,832,556,495)	(10,789,019,801,789)
Payments of dividends	36	(8,046,328,463,250)	(8,046,328,463,250)
Payments of dividends of subsidiaries to non-controlling interest	36	(105,267,788,700)	(120,571,155,470)
Net cash flows from financing activities	40	(4,292,773,661,270)	(12,360,289,365,923)

The Cash-Flow Statement (Cont.)

- Vietnam Dairy Products Joint Stock Company (31.12.2023).

Vietnam Dairy Products Joint Stock Company and its subsidiaries Consolidated statement of cash flows for the year ended 31 December 2023 (Indirect method – continued)			
Form B 03 – DN/HN <i>(Issued under Circular No. 202/2014/TT-BTC dated 22 December 2014 of the Ministry of Finance)</i>			
	Code	Note	
			2023 VND
			2022 VND
Net cash flows during the year (50 = 20 + 30 + 40)	50		606,101,390,592
Cash and cash equivalents at the beginning of the year	60		2,299,943,527,624
Effect of exchange rate fluctuations on cash and cash equivalents	61		(673,070,965)
Currency translation differences	62		6,655,512,674
Cash and cash equivalents at the end of the year (70 = 50 + 60 + 61 + 62)	70	V.1	2,912,027,359,925
			2,299,943,527,624
30 January 2024 Prepared by:  Le Thanh Liem Executive Director – Finance cum Chief Accountant  Approved by:  Mai Kieu Lien Chief Executive Officer			

In conclusion

- Key Financial Statements.
 - ❖ The balance sheet.
 - ❖ The income statement.
 - ❖ The cash-flow statement.

Understand



**THANK YOU
FOR YOUR ATTENTION**

Q&A